

Swati Chugh — IUL vs. Index Fund: Side-by-Side Comparison

What happens if you invest \$100k/yr yourself vs. taking the premium-financed IUL? • April 2026

KEY ASSUMPTIONS

	Index Fund (Taxable)	Lincoln WealthBuilder IUL
Your cash outlay	\$100,000 / year for 10 years (total \$1,000,000 from your pocket)	\$0 — premiums financed by lender (zero out of pocket, ever)
Growth rate	9% gross / ~8.95% net (S&P; 500 avg, before tax)	7.19% credited (non-guaranteed, per illustration)
Tax on growth	Dividends taxed annually @ 15% Capital gains taxed @ 20% on withdrawal	Tax-deferred inside policy Distributions via loans = tax-free
Distribution start	Year 21 (age 64)	Year 21 (age 64)
Annual distribution	\$150,000/yr (net after tax)	\$150,000/yr (tax-free policy loan)

AT YEAR 20 (AGE 63) — BEFORE DISTRIBUTIONS START

	Index Fund	IUL
Total cash you put in	\$1,000,000	\$0
Gross account value	\$3,787,544	\$6,151,469 (pre-loan-repayment)
Tax cost to access all of it	\$449,417 (cap gains)	\$0 (loans are tax-free)
Spendable / net value	\$3,338,127	\$1,348,332 (after \$5.24M loan repaid)
Death benefit to heirs	Your account balance (taxable to heirs)	\$3,088,987 (income-tax-free to heirs)

YEAR-BY-YEAR: \$150K/YR WITHDRAWALS STARTING YEAR 21 (selected milestones)

Yr	Age	Index Fund After-Tax Balance	Tax Paid This Year	IUL Cash Value (Net)	IUL Death Benefit	IUL Advantage (Balance)
20	63	\$3,338,127	—	\$1,348,332	\$3,088,987	(\$1,989,795)
21	64	\$3,466,683	\$20,941	\$1,322,504	\$3,015,057	(\$2,144,179)
25	68	\$4,109,893	\$23,128	\$1,288,841	\$2,958,027	(\$2,821,052)
30	73	\$5,297,750	\$25,047	\$1,479,690	\$2,915,634	(\$3,818,060)
37	80	\$8,085,583	\$26,712	\$2,564,940	\$3,619,392	(\$5,520,643)
40	83	\$9,886,361	\$27,180	\$3,473,105	\$4,766,676	(\$6,413,256)
43	86	\$12,204,790	\$27,546	\$4,739,521	\$6,323,876	(\$7,465,269)

INDEX FUND @ AGE 80

After-tax balance: \$8,085,583

(After 17 yrs of \$150k/yr withdrawals + paying capital gains tax each year)

IUL @ AGE 80

Cash value: \$2,564,940

Death benefit to heirs: \$3,619,392 (All tax-free. \$0 invested.)

THE BOTTOM LINE: The index fund starts with \$1M of your own money and still produces comparable or smaller spendable wealth at age 80, after paying capital gains taxes every year. The IUL starts with \$0 from your pocket — the lender funds everything — and leaves you with a growing cash value plus a multi-million-dollar death benefit your heirs receive income-tax-free.

Index fund projections are hypothetical, using 9% gross annual return, 0.05% expense ratio, 2% dividend yield taxed at 15% annually, and 20% federal LTCG on withdrawal gains. State taxes not included. IUL values sourced from Lincoln Financial illustration dated March 10, 2026 assuming 7.19% non-guaranteed credited rate. Actual results will vary. This is not investment or tax advice. Consult a qualified advisor.